

Transaction Behavior Patterns in Nigeria's Digital Payment Ecosystem

15,500×

growth in POS transactions
Jan 2009 → Jun 2025

Agent Banking, Merchant Adoption, and the Next Wave
of Digital Financial Inclusion in Nigeria

Obakoya Iyanujesu

Data Scientist

One country. Two realities.

1.38 BILLION

POS transactions processed
every single month in June 2025

*Up from 89,349 in January 2009.
A 15,500-fold increase in 16 years.*

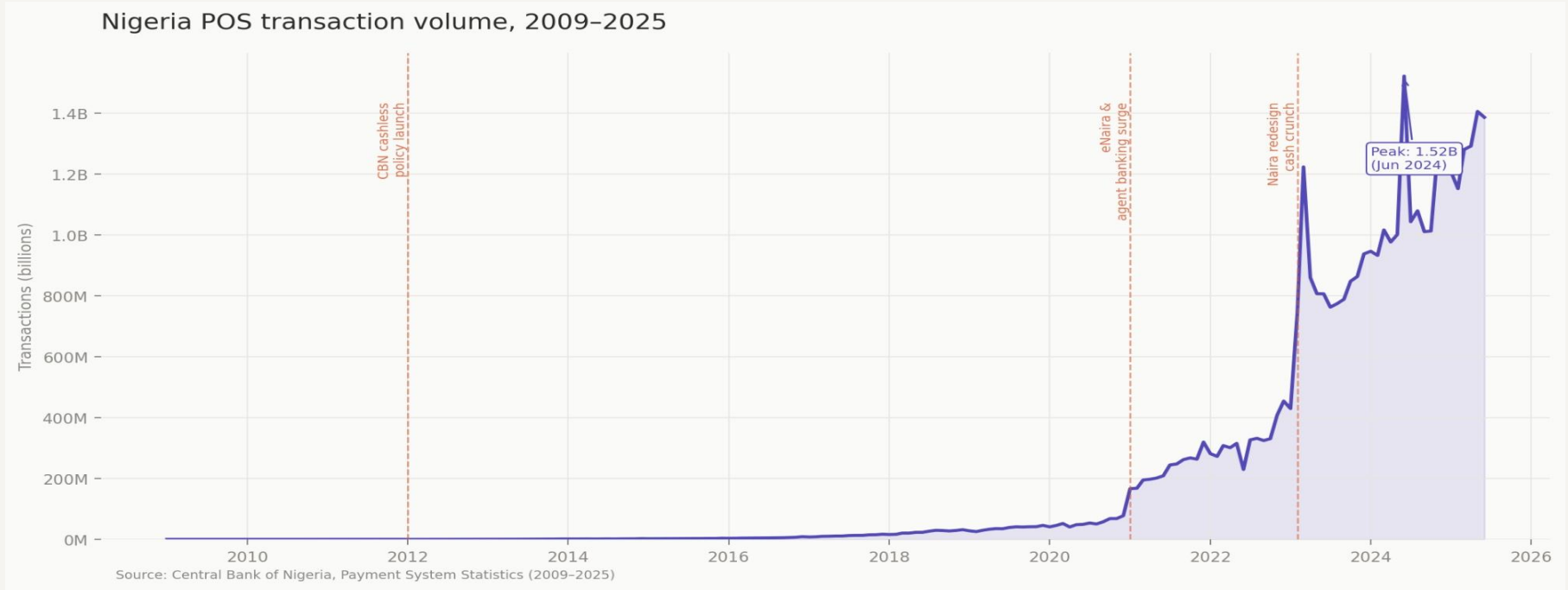
97% of payments

involved cash at point of purchase
(EFInA 2023 — pre-full normalisation)

*Likely lower by 2026 — sustained POS growth through 2025 signals
continued cash-to-digital conversion, particularly in urban markets.*

Research question: What does Nigeria's payment data tell us about where the next wave of digital adoption will come from, what will trigger it, and what is blocking it?

16 years. Three phases. One structural shift.



Each surge had a different driver

01

2012–2020

Policy-driven

CBN Cashless Policy mandated POS acceptance. Slow, steady, urban-concentrated. Monthly volumes grew from 89K to 78M.

02

2021

Infrastructure-driven

Agent banking reached critical density. Monthly volumes doubled in one month: 78M → 167M. The network effect kicked in.

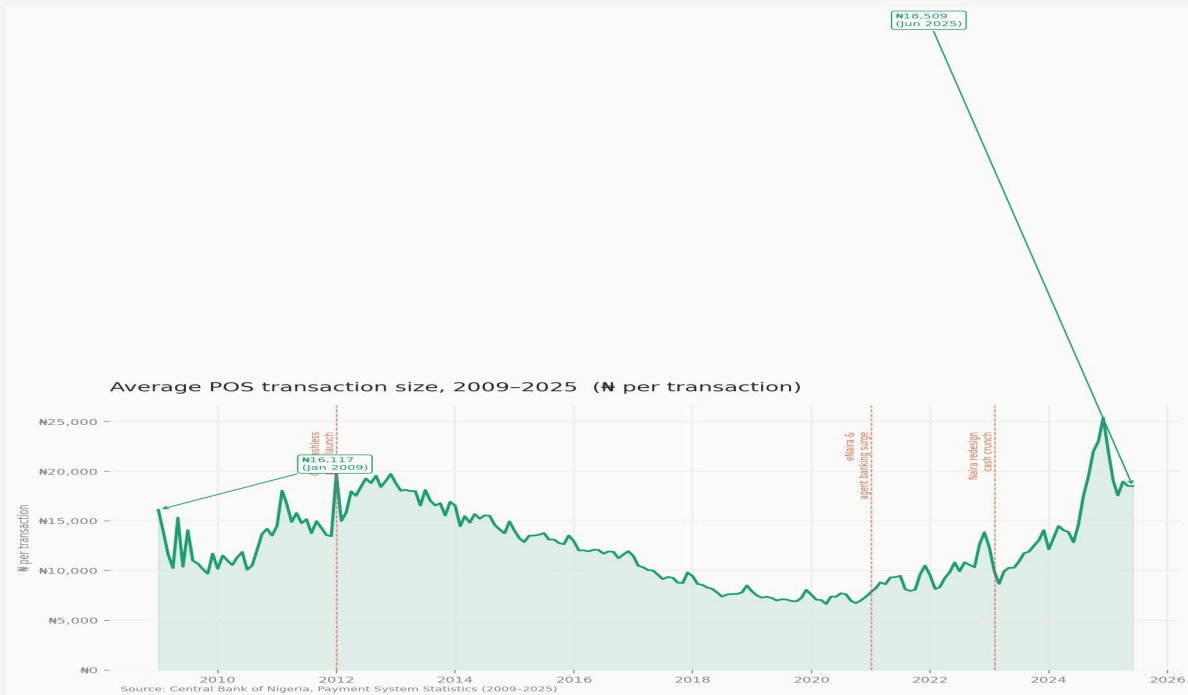
03

2023

Crisis-driven

Naira redesign removed cash from circulation. POS volumes hit 1.22B in March 2023 — and never retreated. Crisis became habit.

Growth was wide, not deep — a signal of new user adoption



The key insight

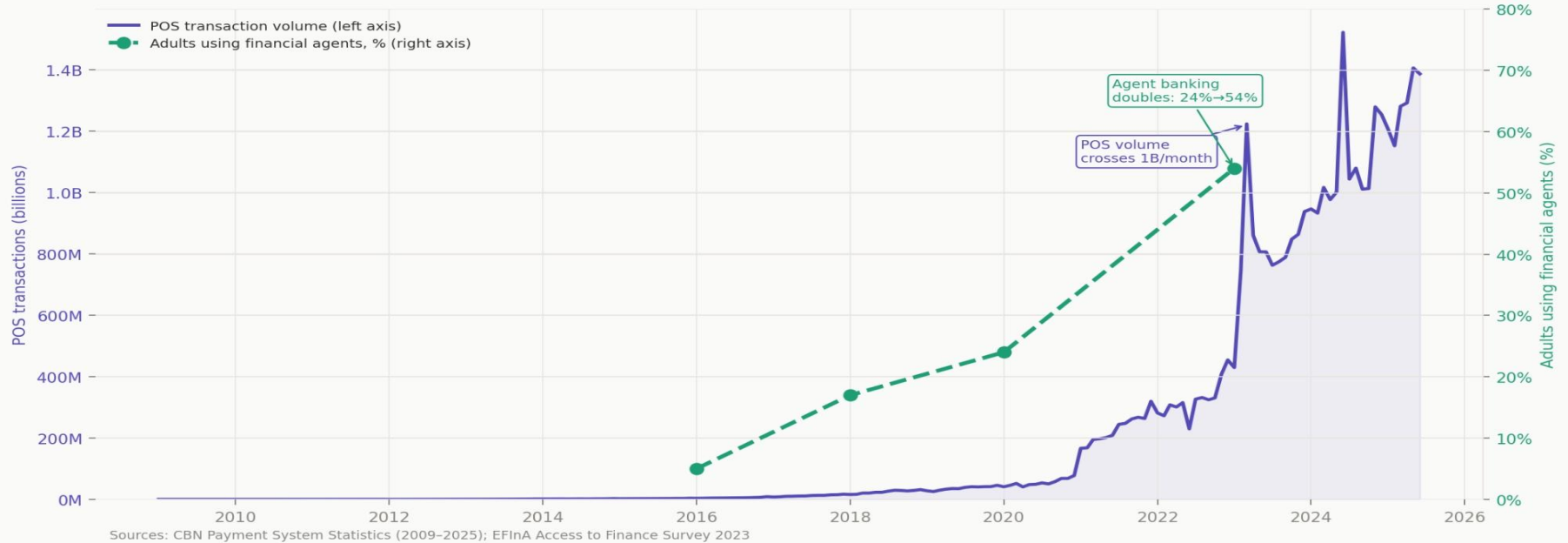
Average transaction size barely moved over 16 years — from ~~N16,117~~ to ~~N18,509~~.

This means growth came from millions of new users, not from existing users spending more.

The ecosystem reached micro-merchants.

Agent banking built the infrastructure that made adoption permanent

Agent banking expansion tracks POS volume growth, 2016–2025



Nigeria is three digital payment markets operating simultaneously

Stage 1 — Cash-dominant

33–38%

inclusion rate

North-West, North-East

47% of NW adults excluded. 18.7M people across 2 zones are the most under-served. Sporadic POS use, low agent density.

Largest untapped opportunity

Stage 2 — Transition

60–80%

inclusion rate

North-Central, parts of South-East

Agent networks expanding. Rural-urban gap narrowed from 30pts to 20pts 2020–2023. Infrastructure arriving faster than behavior.

Active frontier — invest now

Stage 3 — Digital-first

90–98%

inclusion rate

South-West, South-South

Lagos at 98% formal inclusion. POS is expected, not novel. Competition shifts from access to product depth and credit.

Deepen, don't expand

The 2023 crisis answered the most important question in Nigerian fintech:

What makes people switch to digital payments permanently?

FORCED USAGE

Cash disappeared overnight. 2.8x POS surge in 8 weeks.

INFRASTRUCTURE

Where agent networks existed, the behavior stuck. Where they didn't, users reverted.

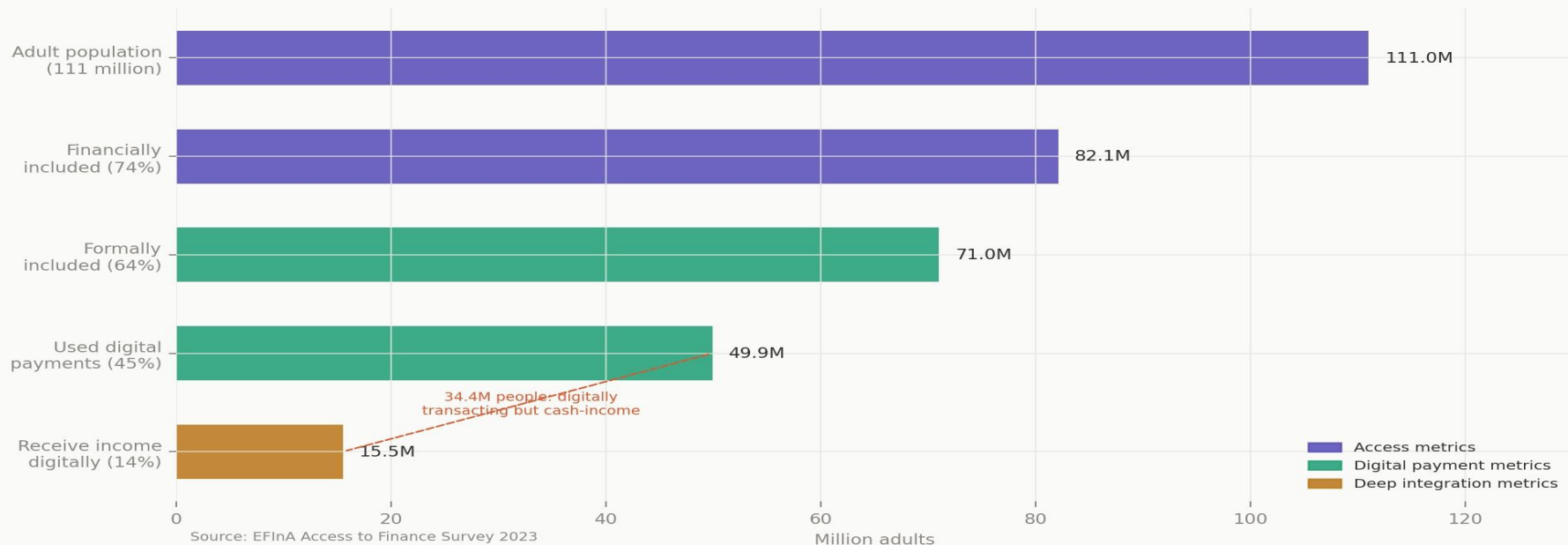
PERMANENT SHIFT

Monthly volumes stabilized above 1 billion. 2024 saw 13B annual transactions vs 660M in 2020.

Conclusion: Infrastructure density is the prerequisite for durable adoption. Build the network first. The behavior follows.

Access has been solved. Depth has not.

Nigeria's financial inclusion funnel — where conversion breaks down



Three barriers stand between access and genuine financial participation

47%

No transactional account

52 million adults cannot independently send or receive digital payments. Agent access is not the same as account ownership.

85%

Still receive income in cash

If income arrives in cash, digital payments remain supplementary not primary. Income formalization is the missing bridge.

62%

Earn under ~~₦~~100,000/month

Low, irregular income makes formal account ownership feel impractical. Products must work for ~~₦~~5,000 float sizes, not ~~₦~~50,000.

What these findings mean for Nigeria's agent-led financial services operators

Where is the growth?

Stage 2 markets now. North-Central and peri-urban South-East have growing infrastructure but under-served merchant populations. Invest in agent density there before Stage 2 becomes Stage 3.

What triggers adoption?

Infrastructure + forcing event. The 2023 data proved that where agent networks are present, crisis converts to habit. Create the infrastructure. Let triggers — income, payments, credit — do the conversion.

What removes the barrier?

Transactional account for the 47%. The depth problem is not distribution — agents have reached 60M people. It is product design for irregular income: flexible onboarding, zero-balance accounts, micro-credit from Day 1.

The volume problem is solved.

Depth is the frontier.

Nigeria's POS ecosystem grew 15,500× in 16 years by solving the access problem. The next 10 years belong to whoever solves the depth problem — designing products that convert 52 million agent-reached Nigerians from the edge of the financial system into its functioning core.

13.1B

POS transactions
in 2024

60M

Adults reached by
agent banking

52M

Adults with no
transactional account